RPS Research

April 2026

Price Targets

C$ 23.0

Polaris Renewable Energy Inc.

PIF.TO
Sector: Renewable Energy

Amid surging global demand for clean energy, energy transition mandates, and Latin American power needs, PIF is powering the sustainable grid of tomorrow with diversified,

Executive Summary

Polaris Renewable Energy Inc. stands as the standout small-cap pure-play diversified renewable energy producer focused on Latin America and the Caribbean, operating high-quality geothermal, hydroelectric, solar, and wind assets underpinned by long-term USD-denominated power purchase agreements (PPAs). Fiscal 2025 delivered **solid performance**: revenue USD $80.5 million (+6% YoY), adjusted EBITDA USD $56.5 million (+3% YoY), consolidated energy production 810,731 MWh (+6% YoY), and **successful full-year contribution from the Punta Lima Wind Farm** (26 MW, acquired/operationalized in 2025).

With a resilient balance sheet (cash ~USD $93 million, net debt/EBITDA ~2.3x), ~98% contracted revenues, and advancing growth initiatives including the Puerto Rico BESS project and Mexico development pipeline (~1,000 MW potential), PIF is perfectly positioned to capture the structural tailwinds of the global energy transition. We initiate coverage with a **strong BUY** rating and **CAD $23.00 price target**.

Key Highlights

Record Operational Momentum: FY2025 energy production +6% YoY to record levels driven by portfolio expansion (Punta Lima Wind) and strong hydrology/performance across assets; revenue USD $80.5M (+6%), adj. EBITDA USD $56.5M (+3%)

Visible Growth Pipeline: Successful Punta Lima integration, advancing BESS project in Puerto Rico (fixed + performance payments expected 2026+), Mexico development exclusivity (~1,000 MW potential), plus organic optimizations and selective M&A

Strategic Execution: Debt refinancing and optimization completed (Green Bonds), geographic and technology diversification across six countries (geothermal ~45%+ of capacity, hydro, solar, wind), quarterly dividend maintained at CAD $0.15/share (~4.7% yield)

Balance Sheet Strength: Robust cash position ~USD $93M, manageable net debt (~2.3x EBITDA), strong operating cash flow (~USD $35M) supporting dividend, growth, and flexibility for accretive opportunities

Contracted Cash Flows & Diversification: ~98% of revenues under long-term USD PPAs (many extending to 2039+), deliberate geographic spread across Latin America and Caribbean reducing single-country risk

Key Risks: Weather/hydrology variability, regulatory or political developments in operating jurisdictions, interest rate impacts on project finance, and execution timing on BESS/development projectsâ⍰⍰all partially mitigated by long-term contracts, diversification, strong liquidity, and USD revenues.

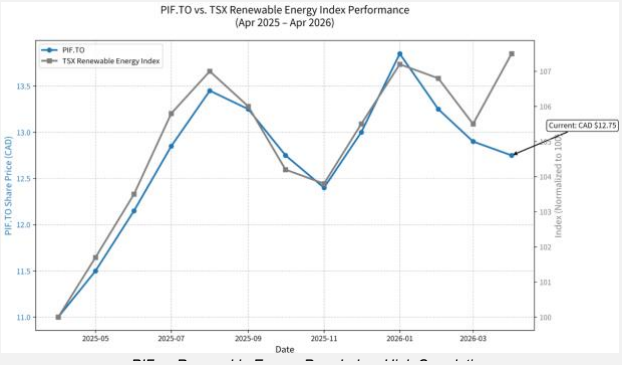
Industry

The global renewable energy sector is in a structural upcycle. Accelerating energy transition goals, Latin American power demand growth, grid stability needs (driving storage additions), and favorable policy support for clean energy are creating sustained tailwinds. High-quality, contracted renewable assets like PIF's core competencies (geothermal base-load, hydro, solar, wind) deliver stable, USD-denominated cash flows in an environment where larger peers trade at premium multiples. PIF offers the same secular tailwinds at a fraction of the size with attractive yield and growth potential.

About the Company

Polaris Renewable Energy Inc. (TSX: PIF) is a Toronto-headquartered, vertically integrated owner and operator of renewable energy projects across Latin America and the Caribbean. Through its diversified portfolio—82 MW geothermal (Nicaragua), ~39 MW hydro (Peru/Ecuador), ~35 MW solar (Dominican Republic/Panama), and 26 MW wind (Puerto Rico)—the company generates stable, long-term USD revenues under PPAs. With assets in six countries and a focus on operational excellence, PIF combines high-quality renewable generation with a disciplined growth strategy via organic enhancements, storage additions (BESS), and accretive acquisitions.

Metric	Unit/Notes	Value
Financial Metrics (FY2025, USD)		
Revenue	USD Million	80.5
Adjusted EBITDA	USD Million	56.5
Net Earnings (loss)	USD Million	-2.7
Energy Production	MWh	810731
Net Debt (est.)	USD Million	~130–150
Operating Cash Flow	USD Million	~35
Stock & Market Metrics (Apr 2026)		
Current Price	CAD	12.75
52-Week Range	CAD	10.70 – 14.20
Average Volume	Shares	~43,000
Market Cap	CAD M (~21M shares)	~267



Contracted Revenue Resilience & Geographic Strategy

PIF has built a resilient, diversified portfolio of renewable assets underpinned by long-term USD PPAs that directly address currency, regulatory, and demand risks. Operations span six countries across geothermal, hydro, solar, and wind technologies, with ~98% of revenues contracted. Recent debt optimization (Green Bonds) and the Punta Lima Wind acquisition enhance stability and growth optionality. Management expects continued strong cash flow generation, with the advancing BESS project adding new revenue streams from capacity and grid services by late 2026. In an industry where contracted, diversified renewable cash flows are a competitive differentiator, PIF's proactive approach represents a clear advantage.

Potential Catalysts (Next 12–18 Months)

- Q1 2026 earnings (May) and full-year guidance update
- BESS project regulatory approvals, construction progress, and first revenues (target operational end-2026)
- Mexico development milestones or additional portfolio acquisitions/optimizations
- Continued dividend stability and potential M&A or project finance announcements

Valuation

Using a discounted cash flow (DCF) model, we derive a fair value of CAD $23.00 per share for Polaris Renewable Energy. The valuation is based on a 5-year explicit forecast period incorporating full-year contributions from the Punta Lima Wind Farm, the ramp-up of the Puerto Rico BESS project in 2027 and beyond, modest organic optimizations, and conservative Mexico development progress. We apply a WACC of 7.5â8.5% and a long-term terminal growth rate of 2.0â2.5%. A supporting peer-comparable analysis using 9.0x FY2027 EV/EBITDA (on projected EBITDA of USD $64â66 million) arrives at the same CAD $23.00 target. This represents approximately 80% upside from the current share price of CAD $12.75.

This reflects a meaningful discount to larger renewable energy peers that typically trade between 10â13x EV/EBITDA, while appropriately accounting for PIF's smaller scale, strong contracted cash flows, 4.7% dividend yield, and visible growth pipeline. The detailed DCF model (explicit FCF projections, WACC assumptions, and sensitivities) and full peer comps can be shared upon request.

Investment Thesis

Robust Operational Performance in Core Markets: FY2025 results highlight steady momentum with 6% higher energy production and revenue growth driven by portfolio expansion and asset optimization. Long-term PPAs provide high visibility on cash flows, supporting dividend stability and reinvestment.

Strategic Diversification and Risk Mitigation: PIF continues to diversify across technologies (geothermal base-load + variable renewables) and jurisdictions, with the recent Puerto Rico wind addition and BESS project reducing concentration risk. USD revenues and long-tenor contracts provide natural hedges.

Operational Excellence and Scalability: Strong management focus on efficiency, recent debt optimization, and liquidity position the company for accretive growth. Low net leverage provides flexibility for bolt-on acquisitions or development projects without excessive dilution.

Peer Analysis

PIF trades at a meaningful discount to both Canadian/international renewable energy peers and global contracted generators despite its superior contracted cash flow visibility, USD revenue stability, high free-cash-flow yield, and visible growth pipeline (BESS + Mexico).

Company	Mkt Cap (CAD M)	EV/EBITDA	ND/EBITDA	Yield	Segment	Jurisdiction
PIF.TO	**~267**	**5.5x / 5.2x**	**~2.3x**	**0.05**	**Geo/Hydro/Solar/Wind + BESS**	**LatAm / Caribbean**
BLX.TO	~3,800	~11–13x	~3.5–4.0x	~2.0%	Wind, Hydro, Solar	Canada / US / Europe
NPI.TO	~6,300	~9–11x	~3.0–3.5x	~3.5%	Wind, Solar, Hydro	Global
INE.TO	~2,500+	~10–12x	~4.0–4.5x	~4.0%	Hydro, Wind, Solar	Global
BEP.UN	~20,000+	~12–14x	~4.5x+	~3.0%	Global Renewables + Storage	Global

Conclusion

Polaris Renewable Energy Inc. is the highest-quality, cash-generative small-cap renewable energy name in Canada, delivering stable contracted cash flows, visible growth through storage and development, an attractive dividend, and a pristine balance sheet at a compelling valuation. For investors seeking leveraged exposure to the global energy transition with income and limited downside, **PIF is a high conviction BUY**.